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A strategic approach to CEO activism: issue selection and communication of motives

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ABSTRACT

Despite the recent surge in CEO activism, studies on strategic communication and management approaches to CEO activism have been scarce. Drawing from issue maturity models and attribution theory, this study proposed two important factors for a strategic approach to CEO activism: strategic selection of activism issues and communication of motives. This study examined the impact of these factors on public responses. An online experiment was conducted using a randomized 2 (issue maturity: controversial vs. matured issue) x 2 (communication about motivation: society-serving vs. society- and firm-serving) full factorial design, drawing on samples of general consumers. The findings revealed that the more mature the activism topic, the greater the public trust in CEO activism and evaluation of CEO leadership. Proper communication of motives was found to mitigate, to some extent, the negative effects of CEO activism arising from controversial issues. The combination of mature issue selection and appropriate communication of motives had a positive effect on public trust and leadership evaluation, resulting in favorable outcomes such as brand loyalty, company-consumer identification, and advocacy intentions.

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CEO activism; issue selection; communication; issue maturity; company-consumer identification; advocacy intention

Introduction

Chief executive officers (CEOs) are increasingly speaking out and taking an open stance on social and political issues (Hoppner and Vadakkepatt 2019), breaking away from the conventional wisdom that corporations should avoid publicly taking sides on socio-political issues that are not related to them (Hambrick and Wowak 2021). Scholars refer to this new phenomenon as 'new CEO activism'(Branicki, Brammer, Pullen, and Rhode 2021) as they often involve social and political issues unrelated to their business (Chatterji and Toffel 2019), are characterized by high media visibility through traditional and social media (Hambrick and Wowak 2021), and are communication-oriented activities (Branicki, Brammer, Pullen, and Rhode 2021; Hambrick and Wowak 2021). According to a recent industry report (Shandwick 2018), the general public not only supports this growing trend of CEO activism but also demands and expects CEOs to engage in social and political issues affecting society. This is because the high visibility and power associated with status could meaningfully impact advocacy for social or political issues (e.g., influencing

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public policy) (Swaminathan et al. 2020; Toffel, Chatterji, and Kelle 2017). Recent empirical research has provided evidence that CEO activism can be effective in mobilizing public opinion (Chatterji and Toffel 2019; Lee and Tao 2021).

Despite the rise of new CEO activism and its potential societal benefits, scholars have warned that this trend – often centered on partisan socio-political issues – can be a double-edged sword, carrying inherent risks (Hambrick and Wowak 2021; Larcker et al. 2018). While CEO activism can help generate greater visibility and media attention for the company and may gain short-term support among CEO position proponents, it not only isolates stakeholders who do not support the CEO position but can also significantly lower their brand preference and purchase intention (Larcker et al. 2018). Similarly, Chatterji and Toffel (2019) noted that companies should not overlook the balance between social impact, organizational advantage, and potential risk.

Despite these risks, CEO activism often remains uncoordinated within a comprehensive, company-wide strategy that targets specific outcomes through close collaboration with public relations professionals. These professionals act as independent advisors in corporate communications, encompassing C-Suite and brand positioning communications. Instead, it tends to be less integrated with the overall corporate strategy, more heavily influenced by the CEO's personal beliefs, and carried out in a less strategic fashion (Larcker et al. 2018). Thus, it carries significant risks, including both unintended backlash effects (e.g., Chick-fil-A's anti-LGBTQ controversies) and the potential to harm corporate values (Hambrick and Wowak 2021). To advance CEO activism into a movement with meaningful social and corporate outcomes, in-depth theory-driven and empirically supported insights into the complexity of the risks and benefits associated with CEO activism and its strategic implementation are urgently needed (Hambrick and Wowak 2021).

To this end, this study focuses on effective methods for communicating and managing CEO activism from a public relations perspective, entailing a strategic communication process that fosters mutually beneficial relationships between an organization and its publics (Grunig and Grunig 1992; Grunig and Hunt 1984). Strategic communication, defined as 'the purposeful use of communication by an organization to fulfill its mission' (Hallahan et al. 2007, 3), is crucial for achieving organizational goals and ensuring long-term company success (Zerfass et al. 2018). Concerning this emerging phenomenon, existing research predominantly investigates the societal impact of CEO activism (e.g., Chatterji and Toffel 2019) and theorizes on potential factors to mitigate its risks (e.g., Hambrick and Wowak 2021), thereby highlighting a scarcity of empirical studies on strategic approaches to CEO activism. Significantly, prior studies often assume that CEO activism is confined to controversial topics, potentially alienating certain stakeholders. Conversely, more recent studies suggest redefining corporate-led activism, including CEO activism, as not necessarily restricted to controversial issues. For such initiatives to evolve into a strategic movement benefiting both the company (e.g., evaluation of CEO leadership or loyalty) and society (e.g., advocacy intentions), it is essential to explore a wide range of societal issues that align with the company's long-term vision and values (Kim and Meganck Forthcoming). Without such consideration, CEO activism or corporate advocacy initiatives risk remaining controversial practices with heightened risks. Hence, there is a critical need to expand the scope of CEO activism and, more importantly, to enhance both theoretical and empirical understanding of the outcomes different issue

selections along the continuum of issue maturity may yield. Furthermore, the adoption of suitable communication methods is crucial, taking into account the characteristics of the advocated topics, such as their maturity.

However, there remains a significant gap in understanding the conditions under which CEO activism can create social impacts and benefits for companies. Additionally, research is particularly scant on how effectively communicating CEOs' motives, intentions, and backgrounds in their public statements on social and political issues can influence the outcomes of their activism for the company. To bridge this gap, this study proposes that CEO activism, regarded as a strategic communication process – a purpose-driven, goal-oriented, and systematically managed communication practice within organizations (Hallahan et al. 2007; Zerfass et al. 2018) – that encompasses a broad spectrum of topics beyond urgent partisan issues and utilizes appropriate communication methods, can develop into an exemplary corporate public relations practice, advantageous to both society and the company.

Specifically, this study introduces two key factors for CEO activism, drawing on issue maturity models (Mirvis and Googins 2006; Zadek 2004) and attribution theory (Kelley 1973): the strategic selection of activism topics and the strategic communication of motives. Recent research has highlighted the significant dependence of public response on the topic of CEO activism (e.g., Chatterji and Toffel 2019). This has led scholars to advocate for studies examining the effects of activism topics to identify conditions that enhance the effectiveness of CEO activism. Responding to this call, this study explores the impact of selecting a CEO activism topic on public reactions, based on the issue maturity model. Issue maturity, defined by the level of broad support a societal issue receives, is crucial as it is strongly linked to public expectations (Chandler 2019; Zadek 2004). Additionally, corporate social responsibility (CSR) literature extensively documents the detrimental effects of public skepticism regarding the motives behind socially focused corporate initiatives, such as CSR or corporate advocacy. This skepticism, characterized by perceiving the company's motives as self-serving and deceptive about its true intentions (referred to as skeptical attribution), negatively impacts public responses (Forehand and Grier, 2003; Ginder, Kwon, and Byun 2021). Although some studies suggest that communication strategies may reduce the development of skeptical attributions (e.g., Kim 2014; Korschun et al. 2019), there is a scarcity of research exploring the impact of motivation-related communication strategies in the context of CEO activism. Therefore, this study examines how the combination of the proposed factors – strategic topic selection and communication of motives – influences public trust in CEO activism and perceptions of CEO leadership, ultimately affecting social and company-centric outcomes.

This goes beyond prior exploratory research (e.g., Chatterji and Toffel 2019) that assessed the impacts of CEO activism on public opinion and attitudes towards social issues by examining its presence or absence. It also moves beyond scholarly discussions that highlight the risks and potentials of CEO activism. Instead, building on the premise of CEO activism's potential positive impact, this research identifies specific strategic conditions that enable companies to achieve their desired outcomes, such as improving perceptions of CEO leadership, increasing consumer loyalty, and enhancing company-consumer identification. Furthermore, by adopting a broader view of CEO activism, this study presents it as a variation or extension of the CSR framework, thereby positioning CEO activism as strategic initiatives for producing both societal and company benefits.

The findings will be valuable for public relations scholars and business managers, offering guidance for developing effective practices in corporate-led activism and advocacy.

Literature review

Contemporary CEO activism

Contemporary CEO activism marks a significant transformation in the role of business leaders within social and political discourse. Defined as the personal and public expression by a business leader on current social or political issues, its primary aim is to make a visible contribution to the discourse and influence opinions (Hambrick and Wowak 2021, 34). Although not entirely new, 'new CEO activism' differentiates itself from traditional forms with distinct characteristics (Branicki, Brammer, Pullen, and Rhode 2021). It often involves CEOs addressing social, environmental, or political issues beyond their company's direct operations (Chatterji and Toffel, 2018). This activism spans controversial partisan topics such as gun control, racial relations, and LGBTQ+ rights, alongside broader social consensus issues like environmental protection (Branicki, Brammer, Pullen, and Rhode 2021; Moorman 2020). These discussions frequently address latent or emerging issues, thus garnering significant media attention. CEOs typically espouse more progressive than conservative positions (Hambrick and Wowak 2021; Toffel, Chatterji, and Kelle 2017), and the media plays a crucial role in amplifying CEO activism due to their influence and status, especially for topics considered newsworthy (Hambrick and Wowak 2021). CEO activism is often a manifestation of personal morality and shaped by individual interests and values, potentially leading to misalignments with the company's culture and values, thereby creating inconsistencies with corporate society-centric activities such as CSR (Hambrick and Wowak 2021).

The literature extensively acknowledges the advantages of CSR, in stark contrast to the intricate challenges posed by the burgeoning trends in CEO activism and corporate social advocacy (CSA). Prior research highlights a significant distinction: corporate-initiated activism, including CEO activism, frequently tackles partisan and controversial sociopolitical issues without sufficient stakeholder involvement, thereby risking misalignment with the company's fundamental business objectives. In contrast, CSR is distinguished by careful and strategic planning and stakeholder communication, aimed at establishing legitimacy and mitigating risks. Consequently, there is ongoing debate among scholars about the relationship between corporate activism/advocacy and CSR. Some regard CEO activisms as a concept distinct from CSR (Hambrick and Wowak 2021), while others perceive it as intimately connected, addressing broader societal concerns (Lee and Tao 2021).

In summary, despite growing visibility and escalating public expectations, CEO activism often remains somewhat detached from the core business framework. It is not typically integrated into a systematic strategy, implementation, or communication plan. Instead, CEO activism tends to be a sporadic, communication-centric activity, predominantly influenced by the personal convictions of the CEO.

A strategic approach to CEO activism

The rise of CEO activism and corporate social advocacy (CSA) as new facets of corporate social engagement has spurred research into their impacts on shareholder value and their

ability to address sociopolitical issues. The results and opinions in academia about the consequences of contemporary CEO activism have been mixed. One line of studies indicates that CEO activism can positively influence sociopolitical domains, with research providing evidence of its beneficial social and business outcomes. Chatterji and Toffel (2019) found that a prominent CEO's public stance on a social issue could sway public opinion, shape behavioral intentions, and impact the company's reputation and public perception. Lee and Tao (2021) discovered that when employees perceive CEO activism as driven by the CEO's ethical principles, they tend to support the activism's cause and the company.

However, another stream of research consistently emphasizes the potential backlash when engaging in the partisan and controversial nature of the issues addressed by CEO activism. This form of activism can initially generate positive interest in an organization due to increased media attention, but such attention can rapidly become negative (Bedendo and Siming 2021). Bedendo and Siming (2021) argue that CEO activism on sensitive political topics is often seen as irresponsible, overlooking the complexities of the company's political and social environment and eliciting strong negative responses from shareholders, sometimes to the extent that the advisory board recommends the CEO's resignation. Larcker et al. (2018) found that, although the public generally supports CEO activism on widely agreed-upon social issues like environmental protection, advocacy on divisive or partisan topics, such as gun control and abortion, tends to result in adverse outcomes. Chandler (2019) suggests that the maturity of issues, as gauged by social consensus, significantly influences the repercussions of CEO activism.

In addition, public skepticism towards CEO activism, characterized by doubts about the motives behind such advocacy, can present a significant challenge. This skepticism often stems from the perception that CEOs, due to their social status and wealth, lack a genuine connection with the issues they support, unlike traditional activists whose advocacy is driven by direct experience and issue salience. Branicki et al. (2021) argue that the absence of personal experience with the adversities at the core of their advocacy can render CEO efforts as insincere, fostering public doubt. Furthermore, this form of activism might be perceived by critical stakeholders – shareholders, employees, and consumers – as irresponsible actions disconnected from the company's culture and values, leading to questions regarding the true intentions behind such behavior (Bedendo and Siming 2021; Hambrick and Wowak 2021). In sum, these existing research on CEO activism has largely debated its impact, often presenting it as a double-edged sword that can either benefit or harm public perception and company reputation. This discourse has highlighted the mixed outcomes of CEO activism, reflecting its complex and multifaceted nature.

The majority of these studies, however, share a common approach: they continue to employ a constrained definition of CEO activism, emphasizing its controversial aspects and the advocacy of divisive issues with limited social consensus. This approach limits the potential of CEO activism to serve as an effective tool for public relations that fosters mutual benefits.

In response, the latest scholarly efforts in the field of corporate-led activism have broadened the conceptual framework of CEO activism and CSA, moving away from a focus solely on contentious or partisan matters (Kim and Meganck Forthcoming). Companies such as Ben and Jerry's and Patagonia serve as exemplars, showcasing how businesses can champion societal issues such as gender equality or climate change that

align with their core values and garner greater social support. This expanded perspective suggests that CEO activism and advocacy can address a diverse range of societal concerns, customized to the specific needs and stakeholders of the company. This broadened perspective aligns with the traditional view of corporate activism, as Heath (1980) proposed, in which corporate-led activism and advocacy should involve a comprehensive process – research, analysis, design, and dissemination of arguments on public issues. These efforts aim to cultivate a favorable and well-informed public opinion, which, in turn, can positively affect the corporate operational environment.

Adopting this broader perspective, this study characterizes CEO activism as strategic and value-driven sociopolitical endeavors, broadening the range of societal issues that CEOs and their companies can address, spanning a spectrum from emerging to established concerns. This evolution highlights the strategic and purposeful approach of CEO activism, as demonstrated through corporate communications and programs that align with organizational values.

Strategic choice of CEO activism topic: issue maturity

Stakeholder theory (Freeman 1984) emphasizes the interconnectedness between a company and its stakeholders, including customers, investors, employees, and communities. Companies should ultimately do right by all who have a stake in the outcome of the organization (Argandoña 1998). Organizations also depend on the stakeholders for their success. The essence of stakeholder theory is to build relationships with those who have a stake in their organization (Freeman and Mcvea 2001). From this perspective, it is crucial that organizations, as large stakeholder hubs, respond to the needs and demands of their stakeholders (Freeman 1984). Stakeholder theory underpins the theoretical support for corporate social and political activities toward larger societies or stakeholders. Accordingly, CSR scholars posit that companies, as important social entities, are responsible for meeting and exceeding stakeholder expectations across economic, legal, ethical, and discretionary dimensions (Carroll 1979, 1991, 1999). Stakeholder theory is meaningful as it gives legitimacy to a company's social and political activities through the interdependence of stakeholders and organizations. However, it has limitations in that it is relatively silent on how to prioritize stakeholder needs when a conflict of interest occurs (Chandler 2019).

For CSR to meet the needs and demands of broader stakeholders and to contribute to success (Carroll 1999), the focus is on selecting topics that are strategically aligned with the corporate line of business (i.e., congruence) and addressing the needs of a wider range of stakeholders (Y. Kim and Ferguson 2019). Thus, CSR is well-aligned with stakeholder theory. However, in the case of CEO activism, depending on the topic selected, it can be seen as an extension of CSR in which the CEO actively participates in communication and leads public opinion towards shared goals. In contrast, it may be perceived as the different phenomenon that divides and alienates some of the organization's key stakeholders when the CEO publicly addresses a controversial and partisan issue. In such scenarios, CEO activism diverges from CSR practices rooted in stakeholder theory. This study argues that for CEO social activism to achieve significant social impact and

positively affect corporate or brand perception, the selection of the topic is critically important.

To expand the range of topics within CEO activism for corporate consideration, it is crucial to empirically demonstrate the varying impacts of issue selection based on the maturity of the issues. This study, leveraging the issue maturity model, investigates the effects of issue selection.

Issue maturity

Zadek (2004) proposed a useful model that companies can use to measure which socio-political issues bring more opportunities or risks to companies. This involves considering the maturity of socio-political issues (latent, emerging, consolidating, and institutionalized) and how businesses respond (defensive, compliant, managerial, strategic, and civil). The model presents expected outcomes, such as whether a specific combination of a company's response (e.g., defensive) and a particular stage of a problem (e.g., institutionalization) will result in potential opportunity or great risk. When a social issue is institutionalized in which a company sees tangible responses from key stakeholders, and social awareness is widely established in the form of legal and political changes, and environmental protection (Zadek 2004), there is a greater risk when the company does not actively express its responsibilities to the issue. The more aggressively a company pursues the issue (strategic or civil), the more it benefits. A major benefit from opting for an already integrated or institutionalized socio-political issue is that it is a safe option, as the company does not alienate key stakeholders (Chandler 2019). On the other hand, a latent or emerging issue that fits well with the company and is not partisan or polarized may have the greatest potential compared to an issue that has already been institutionalized (Chandler 2019; Zadek 2004). However, extremely polarized and controversial social issues, in which it is difficult to foresee social consensus, can be fraught with the greatest risk, both in terms of positive potential and safety.

Besides Zadek (2004), numerous studies have utilized the issue life cycle or issue morality model to ascertain how businesses can optimally respond to social issues, balancing self-interest with social contribution (Branicki, Brammer, Pullen, and Rhode 2021; Hoppner and Vadakkepatt 2019). Branicki et al. (2021, 272) noted, 'Issues are not created equal in relation to the level and nature of social debate and change they provoke'. A key factor influencing the intensity of an issue, and consequently the discourse around it, is the degree of social consensus (Jones 1991), referring to the extent to which there is agreement on an issue within society.

This study posits that socio-political issues for CEO activism should be strategically selected based on issue maturity to satisfy a broad range of stakeholders. This approach aims to achieve broader social implications and beneficial outcomes for the company, such as positive leadership evaluation or increased consumer loyalty. Instead of risking alienation of stakeholders by addressing controversial partisan issues, CEOs need to make careful decisions, plan, and execute their involvement in coordination with brand managers and public relations professionals at a strategic level.

Recent research supports the notion that stakeholders generally prefer CEOs to address softer, widely accepted issues like clean air, sustainability, or poverty (Larcker et al. 2018). Industry research aligns with this finding; for instance, Weber Shandwick (2018) reports

that Americans favor CEOs who speak out on more socially mature topics such as equal pay, privacy, and sexual harassment. Despite this, opinions on CEO activism itself are divided: 39% of Americans believe CEOs should advocate for significant social issues, yet a slightly higher proportion (42%) disagrees with this form of activism (Shandwick 2018). Based on these findings, addressing controversial issues in CEO activism carries significant risks for businesses, especially when compared to supporting safer, broadly accepted social topics. Consequently, this study anticipates that choosing more mature, less contentious issues for CEO activism will result in a more favorable public response. This includes strengthening trust in the CEO's activism efforts and positively influencing the public's perception of the CEO's leadership.

In this study, public trust in CEO activism is defined as an individual's firm belief in CEOs' abilities to leverage their position and resources to effectively address and support the social or political issues they advocate. Previous research indicates that well-designed corporate activities addressing social issues can bolster trust in a company's commitment (S. Kim 2019; Kim 2023). Trust is a key indicator of meaningful relationships between organizations and their publics (Hon and Grunig 1999). Furthermore, CEO activism, centered on the CEO's advocacy communication, can, if well-implemented, enhance the perception of the CEO as an effective leader. Notably, the transformational leadership style, characterized by its ability to convey an inspiring vision and motivate individuals with a strong sense of purpose (Men 2014), is particularly pertinent in the realm of corporate advocacy communication. This style's inspirational and vision-driven nature, combined with symmetrical communication, underlines its relevance in this context (Groves 2020; Lee and Tao 2021; Men 2014). When a CEO advocates for social issues of wide moral and social importance, often backed by a broader consensus, this choice of social issues can mitigate the perception of the CEO taking business risks, leading to a more positive evaluation of their leadership (Branicki, Brammer, Pullen, and Rhode 2021). Thus, the following hypothesis was derived:

H1: Overall, mature issues have a more positive impact on (a) trust in CEO activism and (b) evaluation of CEO leadership compared to controversial issues.

Communication of motives

With regard to CEO activism motivation, effective communication strategies can elicit public trust in CEO leadership and positive evaluations of CEOs. This study proposes a situational communication strategy for CEO activism motives.

Previous studies on CSR using attribution theory (Kelley 1973) have demonstrated that public perceptions of CSR motives play a crucial role in determining CSR outcomes – either positive or resulting in backlash effects (Ellen, Webb, and Mohr 2006; Ginder, Kwon, and Byun 2021; Y. Kim and Ferguson 2019; S. Kim and Lee 2012; Schaefer, Terlutter, and Diehl 2019). Attribution theory, rooted in Heider's (1944) work on social perception and phenomenal causality, posits that individuals seek to discover the underlying reasons behind events or stimuli, classifying actions as either intrinsically or extrinsically motivated (Kelley 1973). Heider (1944) explained that identifying causal origins helps individuals

restore equilibrium to their social and self-perceptions amidst environmental and cognitive imbalances. Consequently, when facing corporate social-issue related activities, people often scrutinize the motives as either intrinsic (stemming from genuine, societal-serving, or value-driven intentions) or extrinsic (driven by external factors like regulatory compliance) (Y. Kim and Ferguson 2019). A major challenge arises from the common public skepticism towards the motives behind corporate actions in social and political domains, often perceiving these as extrinsically motivated for self-serving purposes (Kim 2014; Yoon, Giirhan-Canli, and Schwarz 2006). This skepticism can lead to negative public responses to a company's social and political engagements, unless mitigated by persuasive information that addresses these doubts (Yoon, Giirhan-Canli, and Schwarz 2006). In other words, the degree of skeptical attribution – suspicion about the motives behind a company's social issue-related practices – is closely tied to the potential for a backlash effect, as evidenced by prior studies (Ellen, Webb, and Mohr 2006; Ginder, Kwon, and Byun 2021; Y. Kim and Ferguson 2019; S. Kim and Lee 2012; Schaefer, Terlutter, and Diehl 2019). Therefore, managing or preventing skeptical attributions is a crucial strategic challenge for corporate managers and public relations professionals.

Prior research has underscored the substantial impact of perceived motives on CSR outcomes (e.g., Y. Kim and Choi 2012; Y. Kim and Ferguson 2019). These studies have shown that public perceptions of the motives behind companies' social engagement play a crucial mediating role, significantly influencing outcomes. Acknowledging the important role of perceived motives, a further line of research has concentrated on developing and evaluating communication strategies aimed at influencing such perceptions. This research suggests that the application of strategic communication methods can effectively shape how motives are perceived. Specifically, these studies focused on pinpointing effective communication strategies to reduce skeptical perceptions of the motives behind corporate social activities. For example, Kim (2014) proposed strategic communication, suggesting the use of different methods to communicate CSR motives based on corporate reputation. The findings revealed that the methods and language employed in CSR campaigns significantly influenced the public's perception of motives. Furthermore, the effectiveness of using one-sided or two-sided messages in communicating CSR motives depends on the communication context, including corporate reputation. Understanding how different attributional positions in corporate communication affect CEO activism is crucial for success. This is because the credibility and perception of a CEO's motives behind such activism can greatly influence evaluation and, consequently, stakeholders' trust in activism messaging. This study aims to build upon existing research and contribute to effective communication methods for motives in the context of corporate sociopolitical activities.

While there have been studies categorizing the types of motives into two categories, including firm-serving and public-serving motives (e.g., Y. Kim and Choi 2012), other studies argue that public perceptions of corporate sociopolitical behavioral motives can be more complex than these two (Ellen, Webb, and Mohr 2006; S. Kim and Lee 2012). For example, Ellen, Webb, and Mohr (2006) explained that firm-serving motives can be divided into strategic and egoistic motives, and other-oriented motives can be further divided into value-oriented and stakeholder-oriented motives. Therefore, if a motive is perceived as purely selfish, it can have a repulsive effect. However, when a motive is perceived as

strategic (serving both the interests of the company and society), such perceptions may not necessarily have a negative impact on the socio-political behavior of companies.

Therefore, this study proposes that, for topics that receive broad social support, the risk of provoking public skepticism is relatively low; therefore, openly acknowledging a dual purpose, encompassing both society-serving and firm-serving motives, is likely to elicit a positive response from the public. When employing a two-sided message on an institutionalized topic (which includes explaining firm-serving motives alongside society-serving motives), CEO-led socio-political efforts can be perceived as a wise strategic move rather than purely driven by ethics. As Branicki et al. (2021) posited, CEO activism is in an ideal scenario when the issue's moral significance is high, and it also has clear business relevance. Aligning a moral standpoint with an economic rationale for action strikes a mutually beneficial balance for both the company and society. This strategic approach can allay shareholder fears that the CEO's actions might detrimentally affect the company's interests by demonstrating the dual goals of strategic CEO activism (Branicki, Brammer, Pullen, and Rhode 2021). Consequently, CEO activism not only contributes to societal issues but also brings both long-term and short-term benefits to the company. In a similar vein, Kim (2014) demonstrated that organizations which candidly acknowledge their 'self-serving motives' and willingly address specific issues or limitations in their CSR campaigns are perceived as transparent and genuinely motivated, thereby fostering more positive stakeholder attitudes and supportive intentions. In domains where broad social consensus exists, such as environmental protection, which have become more mature or institutionalized, companies may experience more flexibility in conveying their motives compared to areas entangled in controversy. This greater flexibility stems from the public's widespread acknowledgment of the significance of these issues, resulting in diminished skepticism about the reasons behind corporate engagement in such areas. Therefore, companies are afforded the opportunity to explain their motivations in diverse manners, not limited to asserting altruistic intents.

Conversely, when CEO activism addresses controversial topics without an institutionalized social consensus, delivering a one-sided message that highlights social contributions may more effectively reduce the risk of stakeholder skepticism or negative perceptions. Specifically, for controversial issues lacking support from certain stakeholder segments, CEO activism garners some level of understanding from dissenters only when there's a clear ethical justification that aligns with the company's values, mission, and ethics. Studies have highlighted the importance of building legitimacy through higher morality that aligns with a company's values, especially crucial in CEO activism or corporate advocacy on controversial topics (Hambrick and Wowak 2021; Jin et al. 2023). This alignment is key to fostering positive evaluations of leadership and shaping favorable attitudes toward such activities (Jin et al. 2023; Lee and Tao 2021). Therefore, it is highly probable that selecting communication strategies based on the topic's maturity will bolster public trust in CEO activism. This approach is also expected to enhance the evaluation of CEOs as transformational leaders, capable of inspiring followers to alter their expectations, perceptions, and motivations, uniting them in the pursuit of shared goals. Thus, the following hypotheses were derived:

H2: In the context of controversial CEO activism topics, a message emphasizing society-serving motives will elicit stronger trust in CEO activism compared to a message containing both society-serving and firm-serving motives. However, this trend is not evident as CEO activism matures.

H3: In the context of controversial CEO activism topics, a message emphasizing society-serving motives will generate more favorable perceptions of transformational leadership compared to a message containing both society-serving and firm-serving motives. However, this trend is not evident as CEO activism matures.

Effects of transformational leadership and trust

The study proposes that the perception of transformational leadership and trust in CEO activism, fostered by a strategic approach to CEO activism through careful issue selection and optimal communication of motives, could lead to enhanced outcomes of CEO activism, such as advocacy intentions, consumer loyalty, and company-consumer identification.

Transformational leadership is defined by 'idealized influence, inspirational motivation, intellectual stimulation, and individualized consideration' (Bass and Steidlmeier 1999, 181). This style of leadership fosters strong relationships and bonds between leaders and their employees and followers. Transformational leaders create an empowering and inspiring environment by focusing on the welfare, concerns, and personal development of their employees (Men 2014). They use intellectual stimulation to encourage collaborative problem-solving and brainstorming. This approach values individual contributions and fosters an inspirational environment.

Furthermore, transformational leadership is critical for establishing a symmetrical communication system. Such a system is marked by open and balanced communication (Men 2014), enhancing trust and accountability among all stakeholders. Previous research has shown that transformational leadership plays a significant mediating role in linking a leader's words and actions to their impact on various stakeholders including consumers (Groves 2020; Khan et al. 2018). A notable mirroring effect is also observed, where the values exhibited by a CEO are often reflected in the attitudes and behaviors of employees and followers (Suliman, Rao, and Elewa 2019). Groves (2020) found that leaders who embrace a transformational style, characterized by openness to change, positively influence their followers' attitudes and behaviors. This is particularly evident during periods of significant organizational changes.

Within the sphere of CEO activism, an increasing number of studies are examining the influence of a CEO's transformative leadership on broader populations. This includes key external stakeholder groups like consumers, moving beyond the traditional emphasis on an organization's internal stakeholders (e.g., Branicki, Brammer, Pullen, and Rhode 2021; Jin et al. 2023). Research from both public relations and business ethics disciplines highlights that perceived leadership significantly shapes consumer responses to societal issues and their attitudes towards the brand itself (Jin et al., 2023; Kim, 2023). CEO activism frequently attracts high visibility and media coverage (Hambrick and Wowak 2021), mirroring public

expectations for CEO involvement in addressing social issues (Shandwick 2018). In this context, the way individuals perceive leadership is crucial in determining the outcomes related to CEO activism.

Therefore, this study posits that perceiving a CEO as a transformational leader can significantly enhance public responses. This includes increased trust in CEO activism, heightened advocacy intentions, and improved relational outcomes including consumer loyalty and company-consumer identification. Prior empirical studies provide evidence to support this perspective, highlighting the positive role of transformational CEO leadership in influencing people's intentions to advocate for issues related to corporate advocacy (e.g., Lee and Tao 2021). Studies have drawn connections between corporate activities focused on social issues and the enhancement of company-consumer identification (e.g., Kim 2023). Company-consumer identification is defined as the extent to which consumers feel a sense of affiliation with a company, believing that they share similar characteristics with the company (Bhattacharya and Sen 2003). Transformational leadership has been shown to foster positive brand-related attitudes and purchase intentions among both employees and consumers (Chiang, Han, and C McConville 2020). It is anticipated that this effect will extend to the context of loyalty as well. Finally, trust in CEO activism bolsters the outcomes of CEO activism. The significance of trust is well established in public relations literature (Hon and Grunig 1999) and is considered a critical factor influencing corporate communication and activities (Bhalla and Kim 2023). Within the context of an organization's social and political endeavors, trust directly molds individuals' attitudes toward the topic and the company as well as their supportive behavioral intentions (S. Kim 2019; Lee and Tao 2021). Prior research on stakeholder relationships with organizations suggests that trust serves as a key mediating factor in generating favorable corporate outcomes, such as enhanced corporate reputation or stronger identification with the company (S. Kim 2019).

Based on the above discussions, the following hypotheses were proposed.

H4: Public perception of transformational CEO leadership positively affects trust in CEO activism.

H5: Public perception of transformational CEO leadership positively affects people's (a) advocacy intent on the topic, (b) loyalty, and (c) company-consumer identification.

H6: Trust in CEO activism has a positive effect on people's (a) advocacy intent on the topic, (b) loyalty and (c) company-consumer identification.

Figure 1 shows a conceptual model of hypothesized relationships between variables.

Methods

This study utilized a randomized 2 (issue maturity: controversial vs. matured issue) x 2 (communication about motivation: society-serving vs. society- and firm-serving) full factorial design.

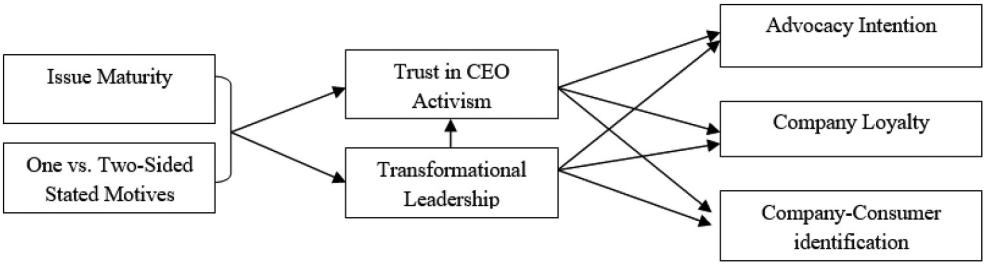


Figure 1. Conceptual model.

Stimuli and pre-tests

Two pre-tests were performed to develop stimuli. The first pre-test was to select a company that the public was familiar with and had a relatively neutral attitude because an existing strong attitude (whether positive or negative) can act as a confounding variable. It also aimed to assess the public perception of differing levels of maturity of the various issues that CEOs have advocated for in recent years. Based on the results of the first pre-test ($n = 66$), CVS was selected as a relatively well-known company with a generally neutral public attitude. Healthcare reform and gun control are selected as controversial issues. As mature issues, sexual harassment prevention and environmental protection issues were selected.

Stated motives were manipulated as follows. In the case of one-sided message, the CEO's intentions for public communication were explained as reflecting the morality of the CEO and the company. In the case of a two-sided message, CEO activism was described as having two dual purposes; Not only does it advance a social and political cause that reflects the morality of the CEO and the company, but also the activism of the CEO can directly or indirectly contribute to the operation of the company. Accordingly, four news articles were produced as stimuli. Each stimulus introduced the CVS CEO's position on the subject for each experimental condition, highlighting the importance of the problem and the company's commitment to advancing the socio-political cause. In addition, each stimulus specified the CEO's activism motives according to the experimental conditions. Except for manipulating two factors (i.e., issuance maturity and stated motivation), all other elements of the stimulus remained the same. The second pre-test ($n = 334$) showed that manipulations of the developed stimuli were successful. Therefore, the developed stimuli were used for actual data collection.

Data collection and measures

The study's target population is the general consumers over the age of 18 in the United States. To build a more realistic sample, participants were recruited through MTurk, one of the largest outsourcing platforms for data collection in the U.S. Participants were given the link to the online experiment site. When they read the informed consent and decided to participate in the study, they were asked to assess their attitudes toward multiple companies to disperse their attention from CVS and their personal positions on various

activism issues. After reading the stimuli of a given condition, they were asked to fill out a questionnaire including key variable measures and demographic information questions.

All measures were adopted from previous studies using a 7-point scale. A detailed description of each measure and Cronbach's α scores can be found in Table 1. Confirmation factor analysis (CFA) was performed to evaluate the measurement model. According to the CFA analysis results, the measurement model also has an excellent model fit (χ^2/df = 2.28, CFI = .979, NFI = .961, TLI = .972, RMSEA = .049). The internal consistency of the variables was assessed by composite reliability (CR). Convergent validity and discriminant validity were checked to ensure that both values were satisfactory. The composite reliability (CR) of each concept was greater than .7, the average variance extracted (AVE) of all variables was larger than .5, and the maximum shared variance (MSV) was greater than the AVE in all cases. The square root of AVE was also greater than the correlation between constructs. Therefore, there were no concerns about reliability, convergent validity, and discriminant validity according to cutoff criteria for fit indexes in covariance structure analysis (Hu and Bentler 1999). Therefore, the measurement model was used for further path analysis.

Manipulation checks were conducted, and it was found that the perceived maturity of issues and communicated motives varied as intended. There were no significant differences in pre-existing attitudes toward the company or familiarity between conditions, indicating that the randomization was successful.

Participants

A total of 452 people participated in the experiment. Participants were distributed evenly across the four experimental conditions. The average age was approximately 37 years old, and the range was 18–73 years old (SD = 15.35). When asked about their gender, 223 (49.4%) were male and 218 (48.2%) were female. In terms of ethnicity, 335 (74.1%) were White/Caucasian, 42 (9.3%) were Black/African American, 23 (5.1%) were Hispanic/Latino, and 31 (6.9%) were Asian/Asian American.

Results

The hypothesized model was evaluated by using a path analysis. Issue maturity and communication of motives were dummy-coded (mature issue = 1, high congruence = 1). Because H2 and H3 suggested possible interaction effects between issue maturity and stated motivation, an interaction term was added to the model for path analysis. AMOS 28 was used to test the model and path coefficients were evaluated for statistical significance. The results showed excellent goodness-of-fit indices ($\chi 2/df$ = 1.287, CFI = .999, NFI = .995, TLI = .996, RMSEA = .025 [.062, .843]). Figure 2 details the path coefficients.

H1 predicted the main effect of issue maturity on trust in CEO activism and perceptions of transformational CEO leadership. The paths from issue maturity to trust in CEO activism and perceptions of transformational leadership were positive as expected and statistically significant, supporting H1. H2 and H3 proposed interaction effects between issue maturity and stated motives. Statistically significant interaction effects were found for both trust in CEO activism and perceptions of CEO leadership. Follow-up tests plotted the two-way interaction effect by using regression coefficients of each variable. Figure 3 illustrates that

Table 1. Measures and cronbach's α scores.

Variables	Measures	M(SD)	Cronbach's α
Trust in CEO Activism (Austin et al., 2019; S. Kim 2019)		5.15(1.07)	.924
– The CEO is committed to creating a more just society by addressing the social issue mentioned			
– The CEO is committed to social change in relation to the social issue mentioned			
– The CEO is concerned with social change			
– The CEO will keep her promises in terms of the subject of CEO activism			
– I am confident that the CEO will work diligently to solve the social issue mentioned			
– This CEO's commitment is trustworthy			
– The CEO will keep its promises related to the topic of CEO activism			
Transformational CEO Leadership (Men 2014; Podsakoff et al. 1990; Suliman, Rao, and Elewa 2019)			
In my opinion, the CEO of the company		5.34(.90)	.916
– articulates a corporate vision			
– articulates corporate values			
– provides good model for people to follow			
– facilitates the acceptance of shared values and goals			
– challenges people to think about old problems in new ways			
– makes it clear that he/she expects better performance			
– inspires others with his/her plans for the future			
– is able to get others committed to his/her dream			
– is always seeking new opportunities for the organization			
– develops a team attitude and spirit among employees			
– talks enthusiastically about what needs to be accomplished			
Advocative Behavioral Intentions (Kim 2017; Lee and Tao 2021; Walden and Westerman, 2018)			
– I would speak favorably about the CEO's action in public		4.45(1.44)	.946
– I would say positive things about the CEO's action to other people			
– I would defend the CEO's action when someone says something negative about it			
– I would positively tell others about the CEO's action to show them why these matters			
– I intend to say good things to my friends and neighbors about positive aspects of the management and the company in light of the CEO's action.			
– I intend to speak up when I encounter biased or ignorant criticism of the company in light of the CEO's action			
Loyalty (Martínez and Bosque, 2013)			
– I would use this company as my first choice compared to other competitors		4.31(1.46)	.884
– It would be costly in terms of money, time and effort to end the relationship with this company		4.48(1.35)	.910
– I shall continue considering this one as my main brand in the next few years			
– I would recommend this company if somebody asked my advice			
Consumer-Company Identification (Bhattacharya and Sen 2003; Sen and Bhattacharya 2001)			
– The company reflects who I am			
– I can identify with the company			
– I feel a personal connection to the company			
– I (can) use the company to communicate who I am to other people,			
– I think the company (could) help(s) me become the type of person I want to be,			
– I consider the company to be 'me' (if it reflects who I consider myself to be or the way that I want to present myself to others), and			
– The company suits me well.			

when a CEO activism issue is controversial, expressing solely a society-serving motive garners more trust in the CEO's activism than conveying a message that serves both society and the firm. When the topic of CEO activism matures, the trend was not as evident. When it comes to perceptions of transformational CEO leadership, as shown in Figure 4, when the topic of CEO activism is controversial, articulating exclusively a society-serving motive elicits more favorable perceptions of transformational leadership than conveying motives that serve both society and the firm. However, when the topic of CEO activism matures, the trend is not evident. Thus, H2 and H3 were supported.

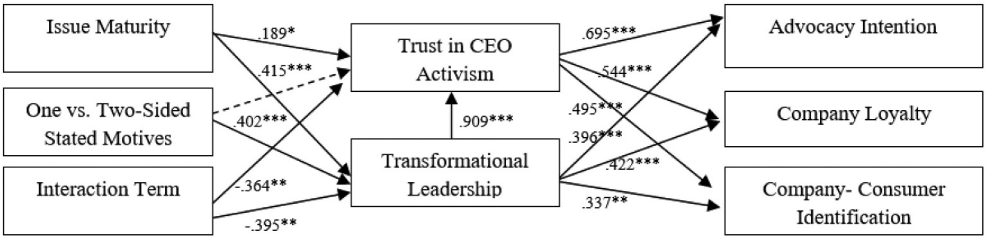


Figure 2. Path coefficients. Straight lines represent statistically significant paths; $\chi 2/df = 1.287$, CFI = .999, NFI = .995, TLI = .996, RMSEA = .025 [.062, .843]; *** $p<.001$, ** $p<.01$, * $p<.05$.

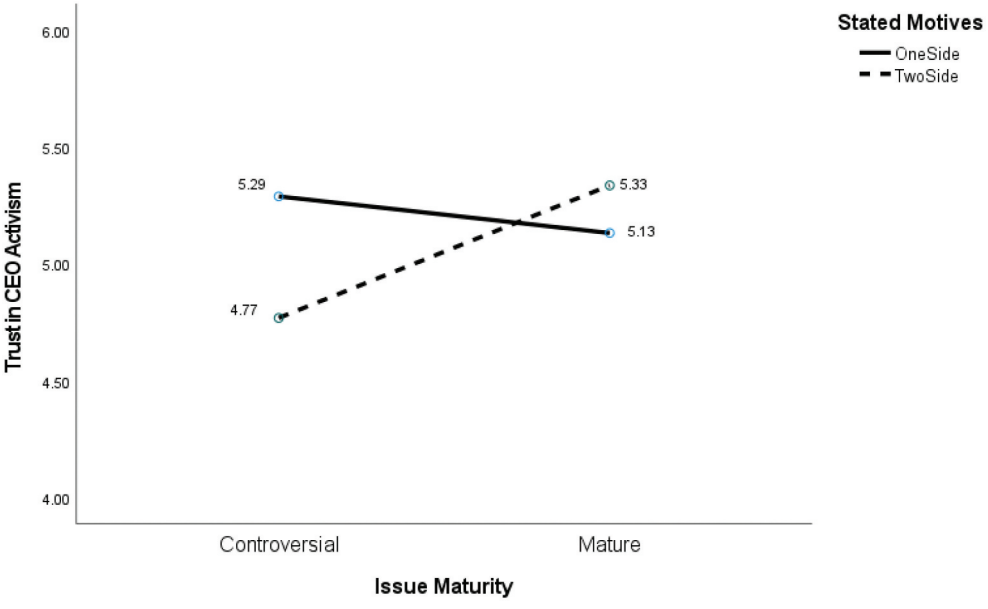


Figure 3. Interactive Effects on Trust in CEO Activism.

H4 hypothesized the effect of public perception of transformational leadership on trust in CEO activism, and H5 proposed the effect of perceived transformational leadership on people's (a) advocacy intent on the topic, (b) consumer loyalty, and (c) company-consumer identification. Paths from public perception of leadership to all three dependent variables were positive and statistically significant, supporting H5.

H6 proposed the effect of trust in CEO activism on people's (a) advocacy intent on the topic, (b) loyalty, and (c) company-consumer identification. The paths from transformational leadership perception to trust in CEO activism, advocacy intentions, loyalty, and company-consumer identification were statistically significant. Thus, H6 was supported. In addition, paths from trust in CEO activism to advocacy intentions, loyalty, and company-consumer identification were statistically significant, supporting H6.

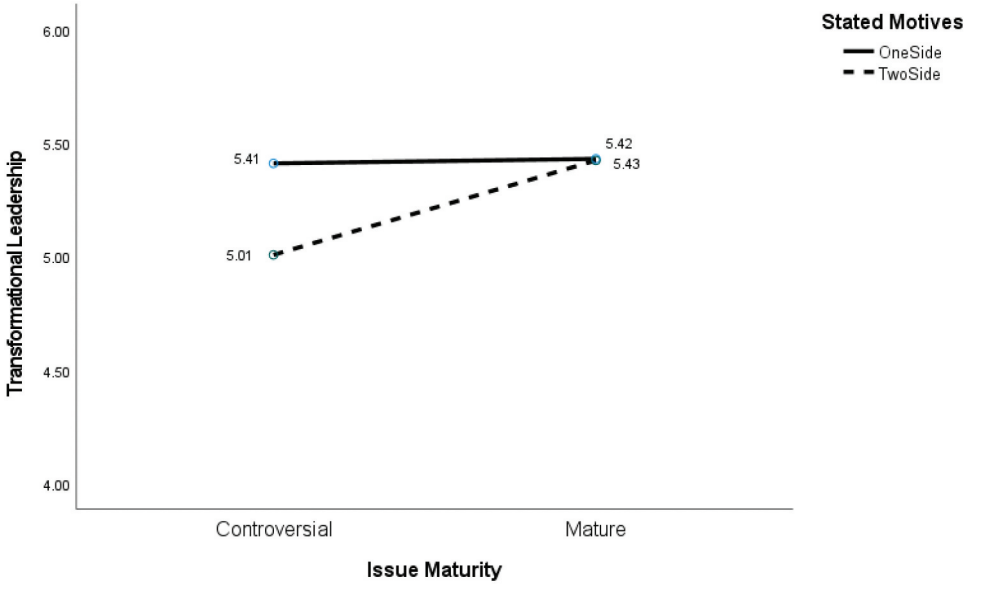


Figure 4. Interactive effects on perceptions of transformational leadership.

Discussion

Despite the rapid increase in CEO activism in recent years, studies on strategic approaches to CEO activism from the perspectives of public relations and marketing communications remain scarce. This study posits that CEO activism can be an exemplary public relations practice when properly planned and communicated; it can not only have a positive impact on businesses, but also have a meaningful impact on social and political issues. Therefore, this study presented strategic issue selection and communication of motives as two important factors to consider for effective CEO activism and examined their effects on public responses. The findings, along with their theoretical and practical implications, are discussed below.

First, this study underscored the significance of issue selection in CEO activism. The findings indicate that the more mature the topic of CEO activism, the higher the level of public trust in CEO activism and the more favorable the evaluation of CEO leadership. This suggests that when a CEO addresses a controversial issue, the public may harbor reservations about the CEO's leadership and be skeptical about their commitment to undertaking substantive and purposeful action on the issue. Recent surveys (e.g., Shandwick 2018) have demonstrated that the public might prefer CEOs to voice their opinions on somewhat controversial issues. This preference can be attributed, in part, to a CEO's high public profile, which has the potential to draw extensive media coverage and public attention to a specific topic, and consequently, exert a more substantial influence in shaping public opinion. Nevertheless, as evidenced by the results of this study, engaging in dialogue on controversial subjects can be counterproductive, in that it diminishes trust in the CEO's activism and, critically, adversely impacts assessments of the CEO's leadership capabilities as the company's leader. These findings corroborate the caution raised in earlier research (e.g., Toffel,

Chatterji, and Kelle 2017), which suggests that if not meticulously executed, CEO activism can be a double-edged sword in that it may either achieve or fall short of its intended outcomes. Based on the findings of this study, engaging with controversial issues can generally have a negative impact as opposed to addressing more institutionalized issues.

Second, the findings demonstrate that effective communication of motives can mitigate the potential negative effects of CEO activism to some extent, particularly in cases involving controversial issues. When the topic of CEO activism was controversial, communication emphasizing the morality of CEO activism as a driving factor positively influenced public trust in CEO activism and perceptions of leadership. Conversely, when the issue was controversial and communication expressed dual motives (i.e., messages that conveyed actions as being motivated by both morality and the expectation of deriving a positive impact for the company), this combination resulted in the least favorable outcomes regarding trust in activism and evaluations of leadership. This supports the notion posited by previous research (e.g., Kim 2014) that articulating motives can effectively counteract possible adverse reactions to corporate social and political actions. Concurrently, it provides supplementary empirical evidence suggesting that the communication of motives, if not carefully tailored to the specific situation or context (e.g., CEO activism issue), can lead to worst-case rebounds. Existing literature emphasizes that the morality of CEO activism is a crucial factor that can lead to positive outcomes (e.g., Branicki, Brammer, Pullen, and Rhode 2021; Lee and Tao 2021). The findings of this study support this notion, showing that particularly when the issue is controversial, emphasizing morality through communication is key to preventing backlashes.

Third, while the aforementioned findings illustrate the delicate nature of and a communicative method for mitigating the potential negative repercussions of engaging with controversial issues in CEO activism, this study also provides insightful information regarding matured issues. The findings show that the way motives are communicated has relatively little impact when issues have matured, giving CEOs much more flexibility in communicating about their CEO activism. More importantly, the combination of mature issues and acknowledging both firm-serving and society-serving motives yielded the most positive results. Given that two-way communication motives (i.e., the strategic role of CEO activism in positively impacting the company and society) were associated with significantly positive perceptions of CEO leadership, this combination contributed to higher trust in CEO activism and greater appraisal of leadership, which in turn resulted in better relationship outcomes and advocacy intent. This indicates that for CEO activism to serve as an effective public relations practice aimed at building mutually beneficial relationships between the company and its key publics, selecting more mature issues is crucial. Moreover, conveying that such activism is motivated not only by morality but also by the intent to advance both the company and societal issues presents a more ideal scenario.

Fourth, this study highlights the critical mediating role of trust in a CEO's commitment to activism, as well as the impact of perceiving leaders as transformational. Trust in a company's handling of social issues has been identified as a key mediator in previous studies (Kim, Basnyat, and Meganck 2023; S. Kim 2019), and this study provides additional support for this notion. While CEO activism centers around the company leader, many past studies have overlooked its impact on people's evaluation of that leadership. The

importance of perceived leadership is greatly emphasized in both organizational communication and public relations literature, owing to its influence on organizational performance, employee attitudes, and consumer perceptions in relation to the company (Kim 2023; Jin et al. 2023; Lee and Tao 2021). Demonstrating that the evaluation of leadership is a key indicator of the success of CEO activism, this study reveals the role of perceived transformational leadership as a mediator leading to ultimate outcomes such as advocacy intent, loyalty and company-consumer identification.

Fifth, this study revealed that when a CEO's activism is meticulously planned in terms of issue selection and when motives are effectively communicated, it can positively influence relational outcomes (such as corporate loyalty and company-consumer identification) and people's advocacy intentions. This suggests that well-executed CEO activism can serve as an exemplary public relations practice that not only strengthens corporate-focused outcomes such as leadership perception, loyalty, and consumer identification, but also bolsters society-focused outcomes such as galvanizing the public to form a more robust advocacy intent. Previous literature on CEO activism has primarily focused on societal outcomes, such as its influence on public opinion (e.g., Chatterji and Toffel 2019), and on employee-focused outcomes, including the attitudes and opinions of employees (e.g., Jin et al., 2023). Extending beyond these areas, this study presents empirical findings demonstrating that CEO activism can lead to both company-focused and society-serving outcomes among general consumer populations.

The findings yield multiple implications. This study highlights the utility of the issue maturity model (Chandler 2019; Zadek 2004), traditionally focused on CSR practices, and extends its application to a broader spectrum of corporate socio-political activities, including CEO activism issue selection. As corporate advocacy and CEO activism emerge as significant trends, there is an urgent need for a theoretical framework in public relations and marketing communication to strategically guide these initiatives. The conventional stakeholder theory, which underpins CSR's legitimacy by addressing almost all stakeholder expectations, may not be entirely applicable to the broader and more controversial range of topics often encompassed by CEO activism. This misalignment raises critical questions about prioritizing societal issues in corporate or CEO-led advocacy and activism. The findings of this study suggest that issue maturity models, which consider the maturity level and development cycles of issues, offer a valuable framework to navigate these challenges. This demonstrates the adaptability of the issue maturity model, highlighting its potential to effectively guide corporate socio-political endeavors beyond its initial CSR application.

This study reveals that an effective approach to managing public skepticism towards motives in corporate socio-political engagement lies in strategically tailored communication. This finding expands upon the existing literature, which consistently highlights the impact of skeptical attributions of motives, grounded in attribution theory (Kelley 1973), on public responses to such engagement. A major unresolved issue has been the effective management of increasing skeptical perceptions regarding these motives. By introducing a communication strategy that focuses on shaping public perceptions of motives, this study not only addresses this gap but also builds upon the efforts of previous research, such as that by Kim (2014).

It also demonstrates that the attribution theory (Kelley 1973) can serve as a valuable framework for understanding individuals' responses to CEO activism. Furthermore, by employing attribution theory, this study unveils a more sophisticated application. While most of the existing literature presents two contrasting motives in corporate socio-political engagement – firm-serving versus society-serving (e.g., Y. Kim and Ferguson 2019) – this research underscores the complexity of motives in corporate socio-political endeavors. Additionally, it demonstrates that conveying strategic motives effectively can positively influence outcomes. Consequently, this study broadens the scope of prior literature by delving into the methods and impacts of communicating the motives behind corporate socio-political efforts.

Limitations and directions for future research

Although this study has important implications, its limitations should be acknowledged. First, this study is not free from the limitations of experimental research, such as lack of external validity. This study examines only one company case and four possible subjects of CEO activism. To broaden the generalizability of the findings, additional company cases and subjects of activism should be studied in the future. A survey based on the theoretical framework of this study would also be useful for extending the generalization of the results. While this study focuses on the impact of strategic choices on the topic of CEO activism, future research on the relevance of CEO activism to the company, such as congruency, will provide excellent theoretical and practical guidance for communications and public relations professionals. Congruency can be a multifaceted and complex construct; therefore, separate studies focusing on various aspects of congruency (e.g., the congruency between the issue and the company's mission and values, or between the issue and the key stakeholder groups' values) would yield further insights.

Conclusion

This study introduced a model for the strategic selection of CEO activism issues based on their maturity and the strategic communication of motives. Additionally, it demonstrated how issue selection and communication of motives can shape public perception and generate both activism-focused and company-focused outcomes, thereby presenting prime public relations opportunities. In conclusion, with well-thought-out issue selection and proper communication of motives, CEO activism can effectively advance socio-political issues while simultaneously yielding positive outcomes for both the CEO and the company.

Disclosure statement

There are no relevant financial or non-financial competing interests to report.

Notes on contributor

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